

The complaint

Mr R complains that HSBC UK Bank Plc (“HSBC”) won’t refund money he lost as part of an alleged scam.

What happened

The background to this complaint is well known to both parties, so I won’t repeat it in detail here. But in summary, I understand it to be as follows.

Mr R was looking to have renovation work done to his property and contracted a builder to carry out these works. The builder Mr R employed to renovate his property will be further referred to as “Builder A”.

Having agreed the scope of the works, Mr R paid Builder A through various means; most payments were made in cash but one was made via bank transfer.

Later, with the works not being completed and having not received all the materials paid for, Mr R contacted HSBC to request reimbursement of the faster payment he made to Builder A on the basis that he’d been the victim of a scam.

HSBC investigated Mr R’s concerns but didn’t reimburse him as they felt this was a civil dispute between him and Builder A. Dissatisfied with this response, Mr R referred his complaint to our service.

Our investigator looked into the complaint but did not uphold it on the basis that this was a civil matter between Mr R and Builder A, meaning HSBC were not liable to reimburse Mr R.

Mr R disagreed with this outcome and as the complaint couldn’t be resolved by the investigator it has been passed to me for a decision.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

Mr R has provided detailed submissions to our service in relation to this complaint. In keeping with our role as an informal dispute resolution service, I will focus here on the points I find to be material to the outcome of Mr R’s complaint. This is not meant to be a discourtesy to Mr R and I want to assure him I have considered everything he has submitted carefully.

In deciding what’s fair and reasonable in all the circumstances of a complaint, I’m required to take into account relevant: law and regulations; regulators’ rules, guidance and standards; codes of practice; and, where appropriate, what I consider to be good industry practice at the time.

In broad terms, the starting position at law is that a business such as HSBC is expected to process payments and withdrawals that a customer authorises it to make, in accordance with the Payment Services Regulations (in this case the 2017 regulations) and the terms and conditions of the customer's account.

Here it's not in dispute that the payment was authorised, so the starting position is that HSBC isn't liable for the transaction.

From 7 October 2024, Payment Services Providers in the UK are bound by the Faster Payments Scheme (FPS) reimbursement rules. Under these rules, most victims of authorised push payment (APP) scams should be reimbursed.

It's important for me to clarify at this stage that cash withdrawals are not covered by these rules, so I will be only considering whether HSBC ought to reimburse the faster payments Mr R made as part of this alleged scam.

To decide whether HSBC should refund Mr R's payment, I've considered whether this issue meets the reimbursement rules' definition of an APP scam.

The reimbursement rules define an APP scam in the following way:

"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a consumer into transferring funds from the consumer's relevant account to a relevant account not controlled by the consumer, where:

- *The recipient is not who the consumer intended to pay, or*
- *The payment is not for the purpose the consumer intended"*

The reimbursement rules also explain that private civil disputes are not covered. The rules define a private civil dispute as a *"dispute between a consumer and payee which is a private matter between them for resolution in the civil courts, rather than involving criminal fraud or dishonesty"*.

The Payment Systems Regulator in its published policy statement PS23/3 gives further guidance:

"2.6 Civil disputes do not meet our definition of an APP fraud as the customer has not been deceived [...] The law protects consumer rights when purchasing goods and services, including through the Consumer Rights Act."

It provides an example of when this might apply:

"...such as where a customer has paid a legitimate supplier for goods or services but has not received them, they are defective in some way, or the customer is otherwise dissatisfied with the supplier."

Taking these things into account, I need to decide whether HSBC acted fairly and reasonably in its dealings with Mr R.

In order to reach my decision on this complaint, I've considered the purpose for which Mr R made, and Builder A received, the payment. And, if there is a significant difference in these purposes, whether I can be satisfied that this difference was as a result of fraud or dishonesty.

It's clear that Mr R made the payment in order renovation work to be carried out on his property. So, I've gone on to consider what purpose Builder A had in mind and whether that was in line with the purpose Mr R made the payment.

The evidence and testimony provided by Mr R shows that a substantial amount of work was carried out on his property by Builder A. Furthermore, the correspondence between Mr R and Builder A shows that the building work was being carried out at his property for over two months.

Given the extent of the work that has been completed and the timeframe over which it was undertaken, I'm not persuaded that Builder A didn't have the intention of carrying out the agreed works at the time they received Mr R's funds.

I understand that Builder A may not have completed all the work Mr R paid for, and that much of the work they did complete was not to the required standard; but this doesn't demonstrate that they didn't have the intention of completing the work at the time they received Mr R's money.

I accept that Mr R hasn't received all the materials that he paid for. But, following what I've mentioned above regarding the volume of work that has been carried out by Builder A, I'm not persuaded that they didn't have the intention of supplying all the materials he paid for.

I also have to consider that there could be genuine reasons that some of the materials haven't been supplied to Mr R; and the non-receipt of materials doesn't necessarily mean that he has been the victim of a scam.

Taking the above into account, though the evidence provided by Mr R shows Builder A didn't complete all of the work paid for, much of the work which was carried out wasn't done to a satisfactory standard, and that not all materials were supplied, I'm not persuaded that the purpose Mr R had in mind at the time of the payment differed significantly to that of Builder A. As that's the case, I'm not persuaded that Mr R's payment meets the FPS reimbursement rules' definition of an APP scam.

Mr R feels that our service should award him reimbursement, given another organisation has reimbursed him as a result of this issue. I'm sure Mr R can appreciate that I cannot comment on other cases, but I should clarify that each case is decided based on its own merits; which is how I've reached my outcome on this complaint.

I'm not saying that Mr R hasn't suffered a loss, nor making a judgement as to whether Builder A's business practices, workmanship or behaviour were acceptable. I'm only looking at whether I can fairly hold HSBC liable under the FPS reimbursement rules.

I've every sympathy for Mr R as it's clear that this situation has had a large impact on him. But, for the reasons stated above, I don't believe that the faster payment Mr R made to Builder A meets the definition of an APP scam under the FPS reimbursement rules. I'm therefore unable to say that HSBC has acted incorrectly in this instance or that they should reimburse his losses.

My final decision

My final decision is that I do not uphold this complaint against HSBC UK Bank Plc.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr R to accept or reject my decision before 29 June 2026.

Billy Wyatt
Ombudsman